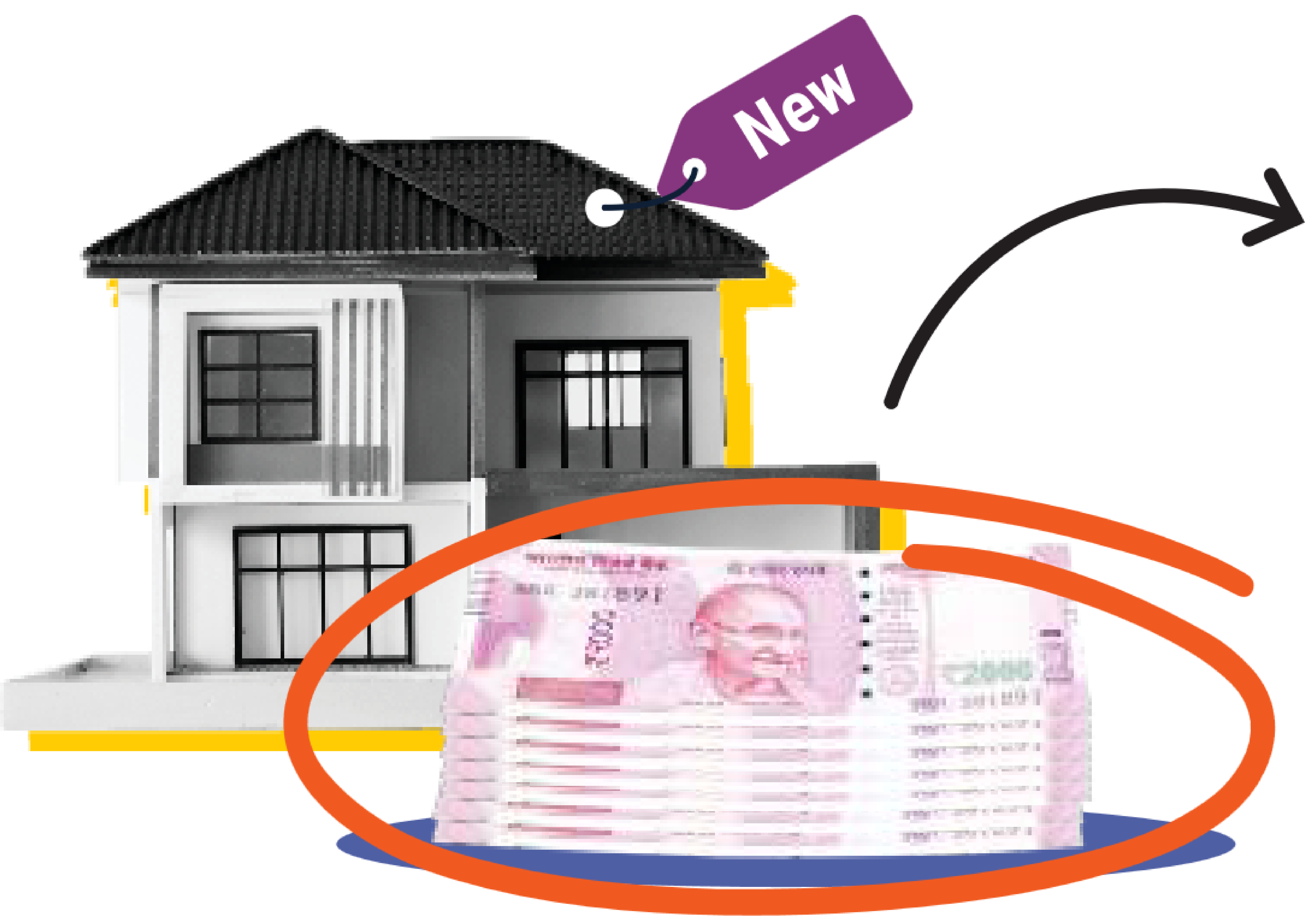
Now, here's something important to note:
If you sell the new property within three years of buying or constructing it, you'll lose the tax exemption. In that case, the profit from selling the first house will be considered short-term gains and taxed at the normal slab rates.

So, while you can save on taxes by reinvesting in a new property, be cautious not to sell it too soon, or you might end up paying more taxes than you'd like.

Capital Gains Bonds - Section 54EC

So, what if you're not planning to buy another property? Do you have to pay that hefty. Long-Term Capital Gains (LTCG) tax on your profit from selling your house?

Nope, there's another way to save on taxes by investing your gains in certain bonds.



You can put your money into bonds issued by the National Highway Authority of India (NHAI) or the Rural Electrification Corporation (REC). These bonds are specifically designated for this purpose. Such an investment can only be redeemed after 5 years from the date of sale of the house property.

You've got a 6-month window to invest in these bonds, but to claim the tax exemption, you must do it before your return filing date. You can invest up to ₹ 50 lakhs in a financial year in these bonds, and they offer an interest rate of around 5%.

So, even if you're not planning to buy another property, you can still be smart about your taxes by investing in these bonds and keeping more of your hard-earned money.